Module 13
Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

(a) Trade receivables

Select a sample of trade receivables and perform confirmations with the respective customers to verify the existence and accuracy of the balances as of the beginning of the financial period. Inquire management and obtain supporting documents for all discrepancies.

Evaluate the adequacy of the loss allowance by reviewing the management's estimates and assumptions.

Test the completeness of trade receivables by reviewing subsequent cash receipts and ensuring proper cutoff procedures.

Check any subsequent reversal or settlement record to prove the existence and accuracy of opening balance.

(b) Trade and other payables

Select a sample of trade and other payables and obtain confirmations from the respective suppliers to verify the existence and accuracy of the balances as of the beginning of the financial period. Inquire management and obtain supporting documents for all discrepancies.

Perform analytical procedures to assess the reasonableness of trade and other payables balances based on historical trends, purchase volumes, and payment terms.

Review supporting documentation for significant payables, such as invoices, purchase orders, contracts.

Review payment subsequent to last year end to confirm the validity and completeness of the liabilities.

(c) Convertible bonds

Request a detailed schedule of the convertible bonds, including the identification of each bond, its face value, conversion terms, interest rates, maturity dates, and any other relevant information.

Request for the valuation report for the convertible bonds performed last year and review the reasonableness of its methodology and key assumptions.

Obtain supporting documentation for the opening balances, such as bond agreements, prospectuses, and related correspondence.

Request confirmation from the bond trustee or the issuer to verify the opening balances of the convertible bonds. Inquire management and obtain supporting documents for all discrepancies.

Ensure that the confirmation includes details such as the face value, interest rates, conversion terms, and any accumulated interest or adjustments.

Review the accounting policies applied by the company for the initial recognition and subsequent measurement of convertible bonds.

Auditor to consider the need to involve auditor's experts/specialists in assisting the appropriateness of methodologies used and assumption applied.

Others

Test the accuracy of conversions: Perform audit procedures to verify the accuracy of the conversion process from HK$ to US$. This may involve selecting a sample of transactions, account balances, or other financial data and independently re-performing the currency conversion calculations.

Answer 2(a)

Obtain bank balance summary and breakdown (by each bank account) from ChatAI to check the completeness of bank confirmation prepared by ChatAI.

Circulate the confirmation independently to obtain direct confirmation independently from respective banks where ChatAI holds its bank accounts.

Request confirmations for all bank accounts, including both local and foreign bank accounts.

Ensure that the confirmations cover the correct period end date to the financial statement date.

Verify that the bank confirmations are sent directly to the auditor and not through the client to maintain independence and reduce the risk of manipulation.

Verify the addresses of the senders whether they are from the appropriate bank addresses.

Verify the background of the senders and whether they are from the appropriate authorised person from the banks.

Inquire management about the nature of the discrepancy noted and between the bank confirmation and book amounts examine relevant documents which support the discrepancy.

Read the entirety of the bank confirmations and ensure all items in the confirmation template have been properly addressed by the banks.

Perform follow-up procedures if the confirmations cannot be received, e.g. contact the bank representative to understand whether they received the confirmation and the reason for delay.

Answer 2(b)

Bank reconciliations

Perform bank reconciliations for selected bank accounts to ensure that the cash and bank balances reported in the financial statements agree with the corresponding bank statements and reconciliations. Inquire management and obtain supporting documents for all discrepancy.

Verify that any outstanding reconciling items are properly investigated and resolved.

Review transactions occurring near the end of the reporting period and ensure they are appropriately recorded in the correct accounting period.

Review bank agreements and documentation

Obtain and review bank agreements and related documentation to understand the terms and conditions of the bank accounts, including any restrictions on withdrawals, compensating balance requirements, or other relevant provisions.

Analytical procedures

Conduct analytical procedures to assess the reasonableness of cash and bank balances by comparing current balances with prior periods, and expectations based on the company's operations and cash flow patterns.

Perform analytical review on the cash in and out movements to identify any unusual transactions.

Investigate any significant fluctuations or anomalies identified during the analytical review.

Others

Review the subsequent bank statements to check any unusual cash flow affecting the year end cash in banks.

Test the accuracy of conversions: Perform audit procedures to verify the accuracy of the conversion process from the foreign currencies to HK$.

Answer 3(a)

The risk of material misstatements relating to the goodwill in terms of valuation assertion is high.

Impairment indicators: ChatAI are still at the stage of making a loss and this suggests it may have impairment indicators.

Changes in business conditions: ChatAI operates in a dynamic and rapidly evolving industry. Changes in market conditions, technological advancements, or shifts in consumer preferences may impact the value of goodwill.

The rapid change of technology may indicate high volatility of the valuation. The risk exists that these changes are not adequately reflected in the valuation, leading to material misstatements.

ChatAI has IPO plan and the management may have pressure to dress up the financial statements.

The goodwill amounted to HK$300 million which was material to the financial statements and was larger than the audit materiality.

Complexity and subjectivity: The valuation of goodwill often involves complex methodologies and subjective judgements. There is a risk that the valuation models, assumptions, and inputs used by ChatAI may not accurately reflect the latest market circumstances. This could result in an over or underestimation of their carrying values, leading to material misstatements in the financial statements.

Answer 3(b)

Understand and evaluate the key control procedures over management's estimation of recoverable amount of the cash-generating units ("CGUs") containing goodwill and assess the inherent risk of material misstatement by considering the degree of estimation uncertainty and level of other inherent risk factors.

Perform retrospective review/ compare the current year actual results of the CGUs with management's prior year forecast to consider the accuracy of historical forecasts and understand the explanation for deviation of the actual results compared with prior year forecast to assess the effectiveness of management's estimation process.

Review the valuation methodologies and assumptions used by ChatAI, including the appropriateness valuation model, in accordance with relevant accounting standards.

Assess the reasonableness and support for key assumptions used in the valuation, such as projected cash flows, discount rates, and growth rates.

Test the accuracy and completeness of the data used in the valuation models, including the reliability of inputs and sources of information.

Review the impairment testing process, including the selection of assets for impairment testing, cash flow projections, discount rates, and judgements made in determining the recoverable amount.

Consider the impact of changes in business conditions, market trends, and industry developments on the valuation of goodwill.

Evaluate management's sensitivity analysis on key assumptions and assess the potential impact of reasonable changes to the significant assumptions.

Auditor to consider the need to involve auditor's valuation experts in assisting the appropriateness of methodologies used and assumption applied.

Answer 4(a)

IT general controls (ITGCs) are controls that ensure the overall effectiveness and reliability of an organization's information technology systems. These controls are designed to provide a foundation for the security, integrity, and availability of data and the proper functioning of IT processes.

ITGCs affect all financial reporting IT applications and play a critical role in supporting financial reporting by helping to ensure the accuracy and reliability of financial information.

The key ITGCs include the administration of the IT function, the segregation of IT duties, systems development, physical and online security, backup and contingency planning, and hardware controls.

Answer 4(b)

Understand the automated revenue calculation process

Gain an understanding of ChatAI's automated revenue calculation process, including the logic and formulas used for revenue calculations (e.g. via a walkthrough procedure).

Assess the accuracy of revenue calculation logic

Select a sample of transactions and compare the calculated revenue with the expected results based on contractual terms and conditions.

Test data input and processing

Verify the accuracy and completeness of data inputs used for revenue calculations by reviewing source documents and testing data processing.

Evaluate controls over master data

Assess the controls in place to maintain accurate and up-to-date master data, such as pricing information and customer records.

Review data validation and error handling

Assess the effectiveness of data validation and error handling controls within the automated revenue calculation system, reviewing error logs and testing system responses to errors.

Evaluate system access and security controls

Assess the controls and security measures to protect the integrity and confidentiality of the revenue calculation system, reviewing user access rights, segregation of duties, and password policies.

Test completeness of revenue posting

Select a sample of revenue transactions and trace them from the automated operating system/ interface to the sale sub-ledger, ensuring all revenue amounts are accurately recorded.

Review system documentation and change

Assess the adequacy of system documentation and change management procedures.

Engage ITGC specialists

Auditor to consider the need to involve auditor's experts/ specialists in assisting the appropriateness of methodologies used and assumptions applied.

Answer 5(a)

The HKEx adopted the Corporate Governance Code ("the Code") which sets out the principles of good corporate governance and two levels of recommendations:

- Code provisions
- Recommended best practices

Listed companies in Hong Kong are required to adopt the 'comply or explain' approach to the Code. Issuers are expected to comply with, but may choose to deviate from, the code provisions.

The recommended best practices are for guidance only. Issuers have the option of devising their own code on corporate governance on the terms they believe appropriate. This should not be at a lower level than the Code, unless adequately disclosed.

Answer 5(b)

The composition of the Audit Committee is prescribed by Section 3.21 of the Main Board Listing Rules as follows:

- Comprise non-executive directors only.

- A minimum of three members.

- A minimum of one independent non-executive director who has the appropriate professional qualifications.

- The majority of the committee members must be independent non-executive directors.

- The chair of the committee must be one of the independent non-executive directors.

Independence

It is important to have independent members on the audit committee, rather than just members of the company's management. ChatAI should appoint an independent non-executive director to be the audit committee member rather than appoint the CFO and CEO of ChatAI.

Audit partner rotation

As required by the Corporate Governance Code, a former partner of an issuer's existing audit firm should be prohibited from becoming a member of the issuer’s audit committee for a period of two years.

Since the former partner just retired half a year ago, ChatAI should consider selecting an Audit Committee Chairman who has left the audit firm more than 2 years ago to maintain independence.

Due diligence

Conduct a thorough review of potential audit committee members, considering their qualifications, experience, potential conflicts of interest, and past relationships with the company.

Expertise

The audit committee should include individuals with relevant qualifications or expertise in accounting and financial management.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS **(Total: 50 marks)**

Answer 6

Sasha is a listed company, which is a public interest entity. Accordingly, transactions with related parties are required to be properly approved and subject to monitoring by those charged with governance. All related party parties are required to be adequately disclosed in the financial statements.

Because the related party is able to influence the business decisions of Sasha, these related party transactions may be associated with misappropriation of assets and financial reporting fraud.

For construction fees paid to A, because the price is dependent on the variables including labour costs and material costs, which have a higher inherent risk to determine a fair pricing, the risk of misstatements is therefore high. In addition, because A is the main construction contractor, there may be difficulties for Sasha to benchmark to any third-party suppliers which will result in a lack of reliable evidence to support the fairness of the construction fees paid to A. The amount is material to the financial statements.

The lease expenses paid to B have a relatively lower risk because the lease expenses are based on a written agreement. The rental can be benchmarked to the prevailing market rent which can be vouched to the nearby third-party lease transaction records. The amount is not material.

The loan to C has a high risk of misappropriation of assets because it is not derived from the normal course of business of Sasha.

In addition, the loan is interest-free and does not have a repayment term, which may indicate that it is not a fair transaction. The risk of the recoverability from C is high and the nature of the loan may lack commercial substance, which is an indicator of fraud. The amount is material to the financial statements.

Answer 7

Date: Exam date

To: Audit partner

From: Audit manager

Subject: Bio Limited Audit of financial statements for the year ended 31 March 2024 – Summary of unadjusted differences

During our audit, the audit team identified the following unadjusted differences:

Unadjusted differences (HK$'000)	Assets Dr/(Cr)	Liabilities Dr/(Cr)	Equity Dr/(Cr)	Profit or loss for the year Dr/(Cr)
Overstatement of inventory cost (a)	(800)			800
Understatement of impairment loss on an intangible asset (b)	(500)			500
Misclassification of a convertible bond (c)		(5,000)	5,000	
Total unrecorded misstatements	(1,300)	(5,000)	5,000	1,300
Effect of unrecorded misstatements from prior periods	-	-	-	-
Unrecorded misstatements after considering prior years effects (d)	(1,300)	(5,000)	5,000	1,300

Quantitative analysis

Amounts before unadjusted differences	30,500	(22,000)	(8,500)	(500)
Cumulative unrecorded differences	(1,300)	(5,000)	6,300*	1,300
Amounts, if corrected (e)	29,200	(27,000)	(2,200)	800
(a) / (e)	3%	-	-	100%
(b) / (e)	2%	-	-	63%
(c) / (e)	-	19%	227%	
(d) / (e)	4%	19%	227%	163%

* *Being the total of convertible bond classification of HK$5 million and the aggregate profit or loss impact of HK$1.3 million.*

For (a) and (b), individually they are not significant to the statement of financial position but they are significant to the profit and loss of Bio for the year, and in aggregate, they are significant to the financial position.

For (c), individually it is significant to Bio's liabilities and equity.

The cumulative unrecorded differences are significant to liabilities, equity and profit and loss account.

The trend of profit and loss had been reversed from a profit to a loss if no corrections were made.

Qualitative analysis

The misstatements would hide a change in earnings or other trends.

As Bio does not have any bank borrowing, it would not have impact on debt covenants. However, as Bio is significantly reliant on the financing from the convertible bond, there may be breaches of the financial ratios as set out in the respective agreements.

Although there is no indication of management fraud, there may be the intention for management manipulating the financial statements to present a better financial position to its creditors.

The classification errors have significantly distorted the financial position and equity amount of Bio which may affect the potential investors.

Conclusion

Based on the quantitative and qualitative analysis, the misstatements are significant, and would impact on our audit opinion.

Answer 8(a)

For First.com, which is a public interest entity, a member cannot be a key audit partner for more than seven years (Code of Ethics for Professional Accountants "COE" Section 540). Leo has been the EQCR from 2016 to 2023. Since he has served this client for 8 years, familiarity and self-interest threats are created.

In addition, as Aron is now the head of the audit group and Leo is under the chain of command from Aron, it is difficult (in appearance and in substance) for Leo to maintain his objectivity when he exercises his role as EQCR. This is considered as intimidation threat under COE Section 325.6. Accordingly, coupled with his long association with a public interest entity, Leo should be rotated off the engagement team.

The incoming EQCR can be a partner from another audit group who will not report to Aron.

Answer 8(b)

In accordance with *Provision of the non-Assurance Services to an Audit Client* of the COE, the audit team should consider and hold responsible for the following:

- The scope of the work should not directly relate to the formation of financial information, otherwise, it would create a self-review threat when the audit team audits its financial statements.

- The IT-related consulting service should not assume management's responsibility.

- Seek pre-approval from those charged with governance (Audit Committee) of First.com prior to the engagement of the consulting services.

- Provide an analysis of the remuneration in respect of audit and non-audit services to those charged with governance (Audit Committee) and ensure the disclosure of the non-audit services fee in First.com's corporate governance report.

<u>Answer 9(a)</u>

The risk of material misstatements relating to the fair value estimated by management's expert is considered as high due to the following:

The difference of HK$2 per share is material, any dollar change became critical and material which would cause over or under statement of the fair value gain or loss as recorded in the profit and loss account.

Management solely relied on the external valuer to determine Moonlight's fair value. Therefore, there is lack of adequate assessment on its reasonableness.

There seems to be a lack of an active market with quoted prices for a film production company, because there was only one company used as a benchmark to determine the fair value. The data may not be representative.

Moonlight is engaged in film production and Company A is engaged in film distribution, they are not operating in the exact same business. Accordingly, they do not face the same business risk, and this will cause a different valuation.

In light of the lack of publicly available market information, the use of a market approach may not be the most appropriate methodology to determine the fair value of Moonlight.

Fantasy's external valuer uses a public company to determine a private company valuation and does not consider there is premium of a public company share price because of public float. Any discount on the public company share price would decrease the fair value of Moonlight, and hence, may cause impairment.

<u>Answer 9(b)</u>

In view of the assessment in (a) above, the auditor shall perform the following procedures:

- Evaluate the competence, capabilities, and objectivity of the management's expert.

- Obtain an understanding of the work of the management's expert.

- Enquire the management's expert regarding whether there is any other publicly available market information regarding the valuation of film production companies.

- Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

- If the auditor considers that the expert's work is not appropriate or there is lack of evidence to determine the fair value of Moonlight to support the management's impairment assessment, it can engage its internal valuation expert to determine the fair value of Moonlight by its own.

- Enquire the management to determine the fair value of Moonlight using other methods, such as discounted cash flow or other models.

- Obtain representation from management.

* * * END OF EXAMINATION PAPER * * *